

Principles of Microeconomics Terminology and Key Points

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Chapter 1: Ten Principles of Economics

Ten Principles of Economics

How People Make Decisions

1. People face trade-offs
2. The cost of something is what you give up to get it
3. Rational people think at the margin
4. People respond to incentives

How People Interact

5. Trade can make everyone better off
6. Markets are usually a good way to organize economic activity
7. Governments can sometimes improve market outcomes

How the Economy as a Whole Works

8. A country's standard of living depends on its ability to produce goods and services
9. Prices rise when the government prints too much money
10. Society faces a short-run trade-off between inflation and unemployment

What is Economics?

- **Scarcity:** The limited nature of society's resources
- **Economics:** The study of how society manages its scarce resources

How People Make Decisions

- **Efficiency:** The property of society getting the most it can from its scarce resources.
- **Equality:** The property of distributing economic prosperity uniformly among the members of society
- **Opportunity cost:** Whatever must be **given up** to obtain that item
- **Rational people:** People who systematically do the best they can to achieve their objectives, given the opportunities available to them
- **Marginal change:** A small **incremental adjustment** to an existing plan of action

- **Incentive**: Something that induces a person to act, such as a *punishment or a reward*
- **Sunk cost**: Cost that is gone **regardless of what's decided next**

How People Interact

- **Market economy**: An economy that allocates resources through the **decentralized decisions** of many firms and households as they **interact in markets** for goods and services
- **Adam Smith's Invisible Hand** steers markets and households towards outcomes that maximize the well-being of society as a whole
- **Property rights** are the ability of an individual to **own and exercise control** over scarce resources
- **Market failure** is a situation in which a market left on its own **fails to allocate resources efficiently**
- **Externality**: The effect of one person's actions on a bystander (e.g. pollution)
- **Market power**: A single actor's ability to influence market prices (e.g. monopoly)

How the Economy as a Whole Works

- **Productivity** is the **quantity of goods and service** produced from **each unit** of labor input
- **Inflation** is an **increase in the overall level of prices** in the economy
- **The business cycle** refers to fluctuations in economic activity, such as employment and production

Chapter 2: Thinking Like an Economist

The Economist as a Scientist

- A **natural experiment** is a real-world event that, by chance, **exposes one group to change** while leaving a similar **comparison group** unaffected, creating something close to a controlled experiment.

The Circular-Flow Diagram

- The **Circular-Flow Diagram** is a visual model of the economy that shows how dollars flow through markets among households and firms. It **leaves out government and international trade.**

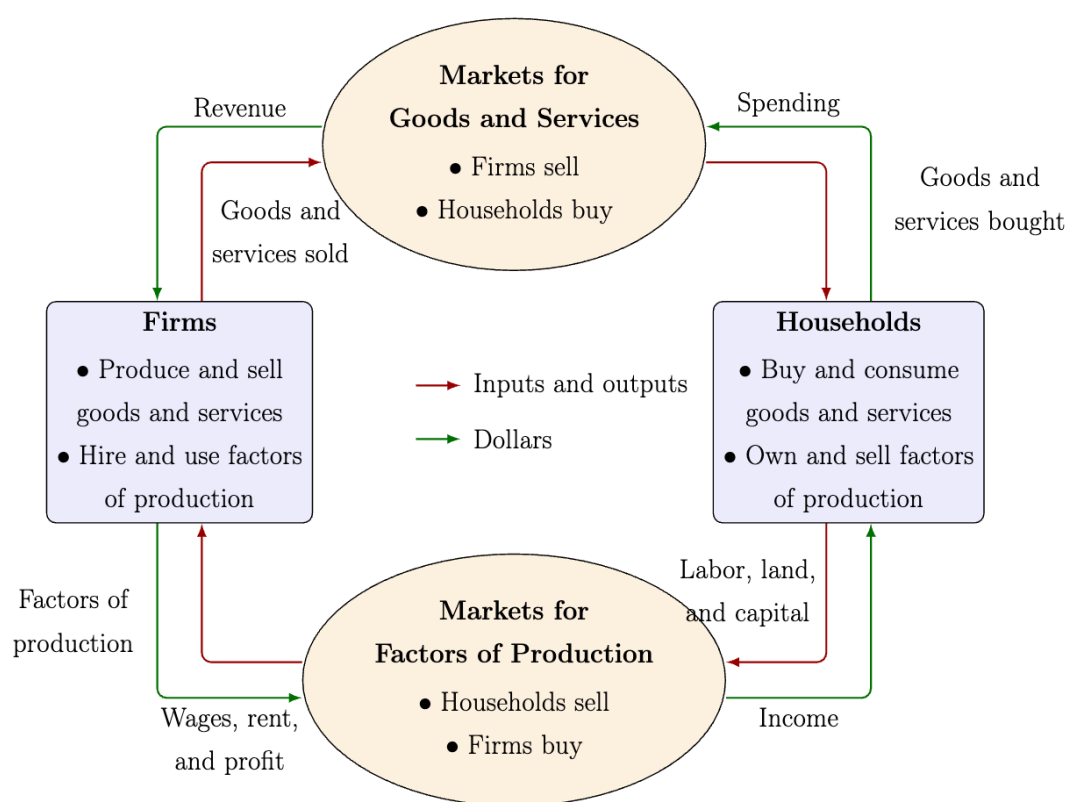


Figure 1: The circular-flow diagram

The Production Possibilities Frontier

- Production Possibilities Frontier (PPF):** A graph that shows the various combinations of output that an economy can produce, given its available factors of production and technology.
- An outcome is **efficient** if the economy is getting all it can from its scarce resources: **no more of one good can be produced** without producing less of the other.
- An outcome is **infeasible** if the current resources the economy has **are not enough** to produce the desired goods.
- An outcome is **inefficient** if the economy can **still produce more goods** with its current resources.

Microeconomics and Macroeconomics

- **Microeconomics:** The study of how **households and firms** make decisions and how they interact in **specific markets**
- **Macroeconomics:** The study of **economy-wide** phenomena, such as inflation, unemployment, and economic growth

Positive vs Normative Statements

- **Positive statements** are *descriptive*, and attempt to describe the world **as it is**. In principle, they can be confirmed or refuted with evidence
- **Normative statements** are *perscriptive*, and attempt to describe how the world **ought to be**, and cannot be settled by evidence alone.

Chapter 3: Interdependence and the Gains from Trade

- **Interdependence** refers to how we **rely on people all over the world** to provide us with goods, and in return provide something they want.
- **Absolute advantage** is the ability to produce a good using **fewer inputs** than another producer.
- **Comparative advantage** is the ability to produce a good at a **lower opportunity cost** than another producer.
- **Imports** are goods produced abroad and sold domestically
- **Exports** are goods produced domestically and sold abroad